

$$\begin{array}{r}
 \text{(a) } 221.02 \\
 \times 12 \text{ months} \\
 \times 5 \text{ years} \\
 \hline
 13,261.20 \\
 + 3,600 \text{ down payment} \\
 \hline
 \$16,861.20 \text{ (a)} \\
 \text{(b) } -15,900.00 \\
 \hline
 \$961.20 \text{ (b)}
 \end{array}$$

$$\begin{aligned}
 I &= 1440 & I &= Prt \\
 P &= 9000 \\
 r &= 0.04 \\
 t &= ?
 \end{aligned}$$

$$\begin{aligned}
 1440 &= 9000(0.04)t \\
 1440 &= 360t \\
 360 & \quad 360 \\
 t &= 4
 \end{aligned}$$

#2 - Show your work for **BOTH PARTS**.

#3 - Show your work using the formula $I = Prt$.

If investing, compound interest is better b/c after 1st year your "new" interest is compounded as well

If a loan, compounded is worse b/c it's adding up faster

#4 - In your own words, write if simple or compound interest is better and why?

$$\begin{aligned}
 A &= ? \\
 P &= 4100 \\
 t &= 2 \\
 r &= 1.18\% = 0.0118 \\
 n &= \text{quarterly} = 4 \\
 &\text{"compounded quarterly"}
 \end{aligned}$$

#5 - Write what you put into the calculator website.

$$\begin{aligned}
 A &= 94,300 \\
 P &= ? \\
 r &= 2.25\% = 0.0225 \\
 t &= 13 \text{ years} \\
 n &= \text{annually} = 1 \\
 &\text{compounded annually}
 \end{aligned}$$

$$\begin{array}{r}
 2347.75 \\
 \times 0.0182 \\
 \hline
 427.73 \text{ (a)}
 \end{array}$$

$$\begin{array}{r}
 \text{(b) } 2347.75 \\
 + 42.73 \\
 + 662.90 \\
 - 549.29 \\
 \hline
 \$2504.09 \text{ (b)}
 \end{array}$$

#7 - Write what you put into the calculator website.

#8 - Show your work for **PART A**.